

and the tax payable will be ₹5.4 lacs. Looking at it from another angle, you can use this opportunity of LTCG to sell off some junk stocks that you may be carrying.

However, the law makes a distinction here. One cannot set off short-term gains from stocks against long-term capital losses from the other assets. Long-term capital losses can only be set off against taxable long-term capital gains.

Get deduction for rent even without HRA

House rent can account for as much as 40-50% of total household expenses. This is why house rent allowance is exempt from tax up to a certain limit. But what if your salary does not include an HRA component or you are a self-employed professional or businessman? Under Section 80GG, you can claim deduction of the rent paid even if you do not get HRA. Not many people are aware of this deduction. However, there are stiff conditions to be met. The least of the following three can be claimed as deduction: rent paid less 10% of total income; or ₹5,000 a month; or 25% of total income. Also, the taxpayer should not be drawing any HRA or any housing benefit.

Besides, the taxpayer and his/her spouse or minor child should not own a house in the city where he stays and he should not be claiming tax benefits for some other self-occupied house.

Invest as much as you can prior to tax deduction

The whole idea of your retiral benefits, whether they are a Public Provident Fund (PPF), Employee Provident Fund (EPF) or Voluntary Provident Fund (VPF) is that you save money during your younger years (when your income and salary are high) on taxes. Then you can withdraw the same funds when you are set to retire and your income is lower.

At that time, you may pay relatively very low taxes on your retirement fund withdrawals because of the low tax slabs that you may fall in at that stage. Thus you end up paying lower taxes when you withdraw during